Armstrong
Financial Services

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ATTN: Nathalie Meilleur, Assistant Commissioner and Chief Audit Executive
Canada Revenue Agency Headquarters 320 Queen Street Ottawa, ON K1A 0L5

FROM: David Kakon, B.Sc. (Math Hons.) Armstrong Financial Services Inc.
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Systemic Non-Compliance and Unregistered Tax Shelters in the Life Insurance Industry

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Dear Ms. Meilleur,

I am writing to raise a compliance concern regarding fully leveraged Immediate Financing Arrangements (IFAs) in the life insurance sector. My primary concern is for the clients entering into these arrangements — many of whom, in my experience, are not being told that the structure may meet the statutory definition of a tax shelter under subsection 237.1(1) of the Income Tax Act, and are therefore unknowingly exposed to reassessment, denied deductions, and penalties years after the fact, with no opportunity at the time of purchase to have made an informed decision.

I am not a lawyer, and what follows is my own analysis, not a legal conclusion. I hold a degree in mathematics, I am licensed in the insurance of persons, and I have spent considerable time working through the statutory mechanics of these arrangements. I could be wrong, and I welcome the CRA's own review of the reasoning below.

In a fully leveraged IFA, the client pays the insurance premium out of pocket, then immediately borrows an equal amount from a bank, secured in part by the policy. The loan is typically interest-only, renewed annually, and intended to remain outstanding until the death of the insured — with no bona fide written arrangement made at inception to repay principal within 10 years.

Under subsection 143.2(7), such a loan is deemed a limited-recourse amount. Under Regulation 3100(3), a limited-recourse amount in respect of the acquired investment is a prescribed benefit, which reduces the statutory net cost of the property to $0 where the loan is matched dollar-for-dollar to the invested amount. Under subsection 237.1(1), any represented deduction above $0 in the first four years — inherent to how these plans are illustrated — satisfies the numerical threshold for a tax shelter, triggering the registration requirement under subsection 237.1(4), regardless of the parties' intentions.

This issue is particularly concerning because the purchaser is rarely equipped to recognize this statutory exposure. The illustration presents the loan, the investment, and the tax-deductible interest as a single, seamless financial plan; the tax-shelter registration question sits entirely outside that illustration and, in my review of implementation materials published by several major Canadian insurers, is not addressed even where other tax risks — such as shareholder benefit exposure or disposition on redemption — are discussed in detail. The client is left relying entirely on their advisor and lender to have already resolved a question that, in most cases, does not appear to have been asked at all.

In my experience, this is not a marginal or rare structure. It seems to me that within high-net-worth insurance planning circles specifically, the fully leveraged IFA has become pervasive — treated by many advisors as close to synonymous with sophisticated estate and insurance planning for this clientele.

I have declined to sell any IFAs to my own clients on this basis, and raising these concerns has not made me popular with competing brokers. I raise that only so the CRA can weigh this submission accordingly.

The enclosed memorandum sets out my full statutory analysis. I believe this warrants attention from the Compliance Programs Branch — both to address the underlying non-compliance and to protect clients who are entering these arrangements without the information they would need to knowingly accept the risk. I would ask that this letter and its enclosure be shared with the Assistant Commissioner accordingly.

Sincerely,

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Enclosure: Is My IFA Life Insurance Plan a Tax Shelter? (Memorandum)